

main motivations behind Taylor's decision to return investor assets and restructure as a much smaller fund.

In my experience, it is usually a mistake for a manager to alter his investment decisions or investment process to better fit investor demands. Taylor acknowledges this same perspective when he states, "I am trying to stop caring about what my clients think."

Taylor believes the best opportunities are those where you can identify a potential trend that the market does not appreciate because it is extrapolating history instead of looking forward. For example, Taylor anticipates that a growing global market share will result in Apple's sales far exceeding prevailing projections. Therefore, whereas Apple seemed adequately priced based on current earnings (a forward prospective P/E of 16 at the time of the interview), it was screamingly cheap based on Taylor's estimate of earnings three years forward (a P/E under 5).

Investors often make the mistake of equating manager performance in a given year with manager skill. In some instances, more skilled managers will underperform because they refuse to participate in market bubbles. In fact, during market bubbles, the best performers are often the most imprudent rather than the most skilled managers. Taylor underperformed in 1999 because he thought it was ridiculous to buy tech stocks at their inflated price levels. This same investment decision, however, was one of the key reasons why he strongly outperformed in subsequent years when these stocks experienced an extended slide.

¹The fund documents required Taylor to give investors a 12-month notice before terminating the fund.

²MSCI Emerging Europe index 1995–2002 and MSCI Global Emerging Markets index 2003–2011.

³"The city" is a small historic section in central London that is the heart of the financial district.

⁴It is an accounting tautology that the sum of the current account balance and the capital account balance is equal to the change in net reserves. Therefore, by definition, if a country has a current account surplus and a capital account surplus, its net reserves should increase by the sum of these surpluses.